

Beneath the Index

The S&P 500 sits just 1.4% from its all-time high, yet three out of five of S&P 500 companies are more than 20% below theirs.

As of close, 09/24/2026

Drawdown from ATH	Members	Share of index
10% or more	428	85.1%
20% or more	304	60.4%
50% or more	87	17.3%

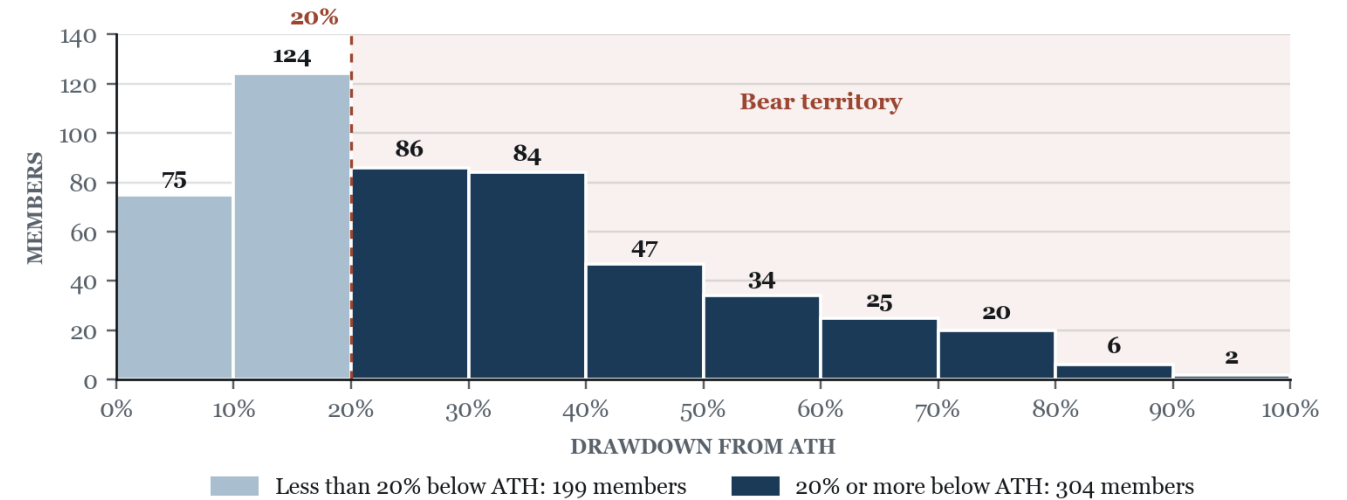
304 of the 503 members of the S&P 500 are in an individual bear market when measured against each company's own all-time high.

I. THE SHAPE OF THE DAMAGE

EXHIBIT 1

Distribution of drawdowns from all-time highs

Amount of S&P 500 companies within each range. The single largest grouping has drawdowns between 10% and 20% below highs (within correction territory), short of bear market territory. The right hand side of the 20% line is what the index level doesn't quite reflect.

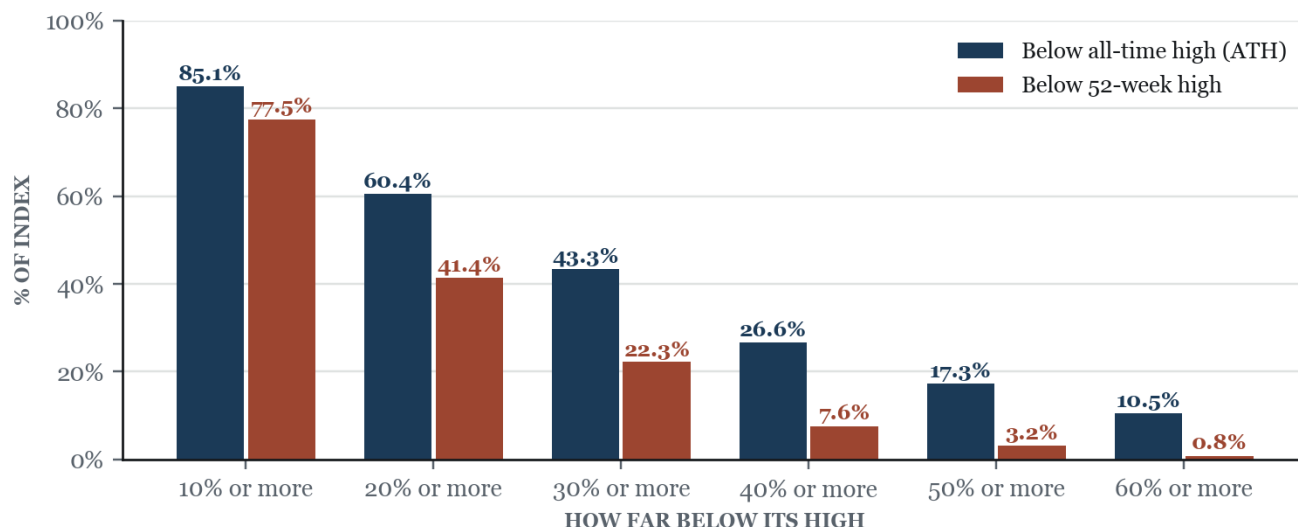


The S&P 500 is market cap-weighted, meaning the largest companies are the most impactful. What this also means is that a small number of large companies near all-time high levels can hold the index up while hundreds of smaller companies face drawdowns. Some notable names that have contributed over the last ~ four years and still sit in the 0-10% below ATHs range include CRWD (-0.5%), AAPL (-2.4%), AMD (-2.6%), NVDA (-4.7%), META (-6.6%), PLTR (-7.6%) and MSFT (-9.9%). The technology sector (META being communications services) has performed strongest throughout the current bull market and few expect that to end anytime soon.

EXHIBIT 2

Two reference highs, two different markets

The percentage of the S&P 500 at or beyond each drawdown threshold, measured against ATHs and against 52-week highs. The gap widens as the threshold deepens. At the 50% mark, the ATH lens finds five times as many names.

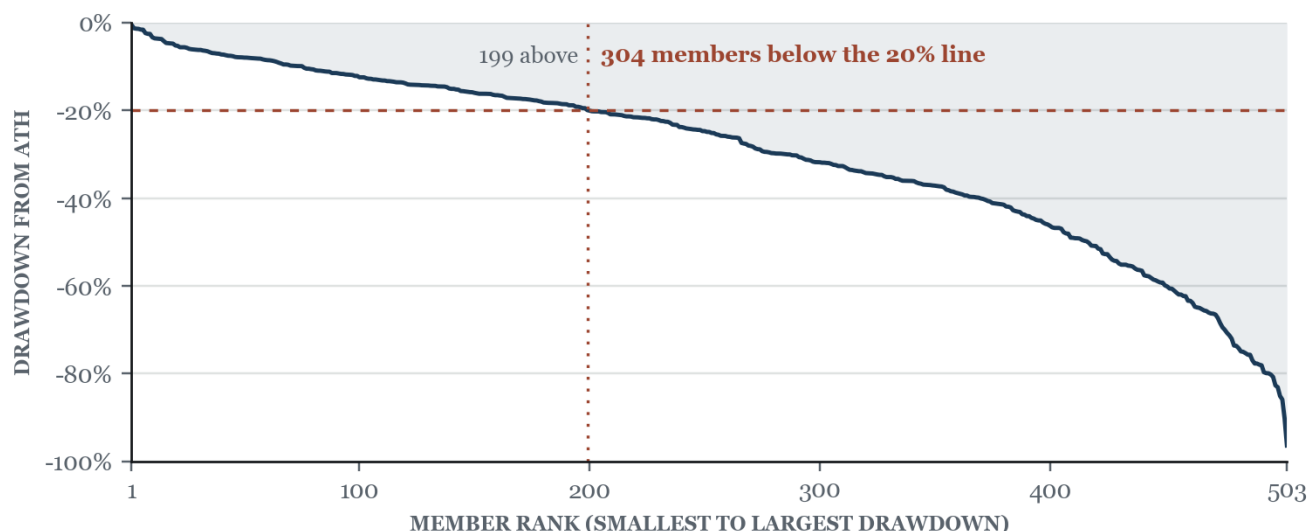


The 52-week view understates the damage because it resets every year. A stock that peaked years ago and has traded sideways since looks fine against a 52-week high but is still far below its ATH. This explains why 41.4% of members are 20% or more below a 52-week high and 60.4% are below their ATH. The gap widens at deeper thresholds (87 members are 50% or more below their ATH vs. 16 on a 52-week basis), which points to stocks that have stopped falling but never recovered.

EXHIBIT 3

How important is individual security selection?

All 503 constituents ranked from smallest to largest drawdown.



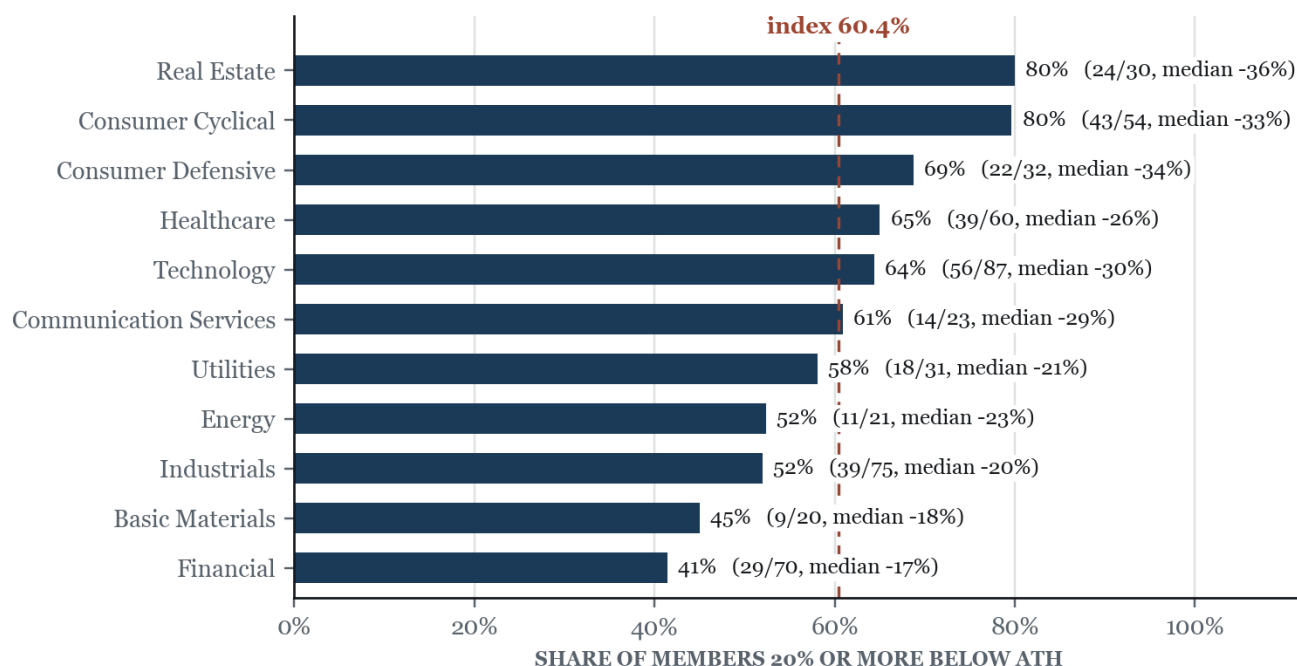
The median S&P 500 company is 24.9% below its ATH. The slope is gradual through the middle and steepens at the far end, where 28 members are more than 70% below. The S&P 500 points to broad weakness with a tail rather than a group of winners and a group of losers. This illustrates the importance of individual security selection within a portfolio.

II. WHERE IT SITS

EXHIBIT 4

Sector breadth against all-time highs

Share of each sector's members more than 20% below their ATH, with member count and sector median drawdown.

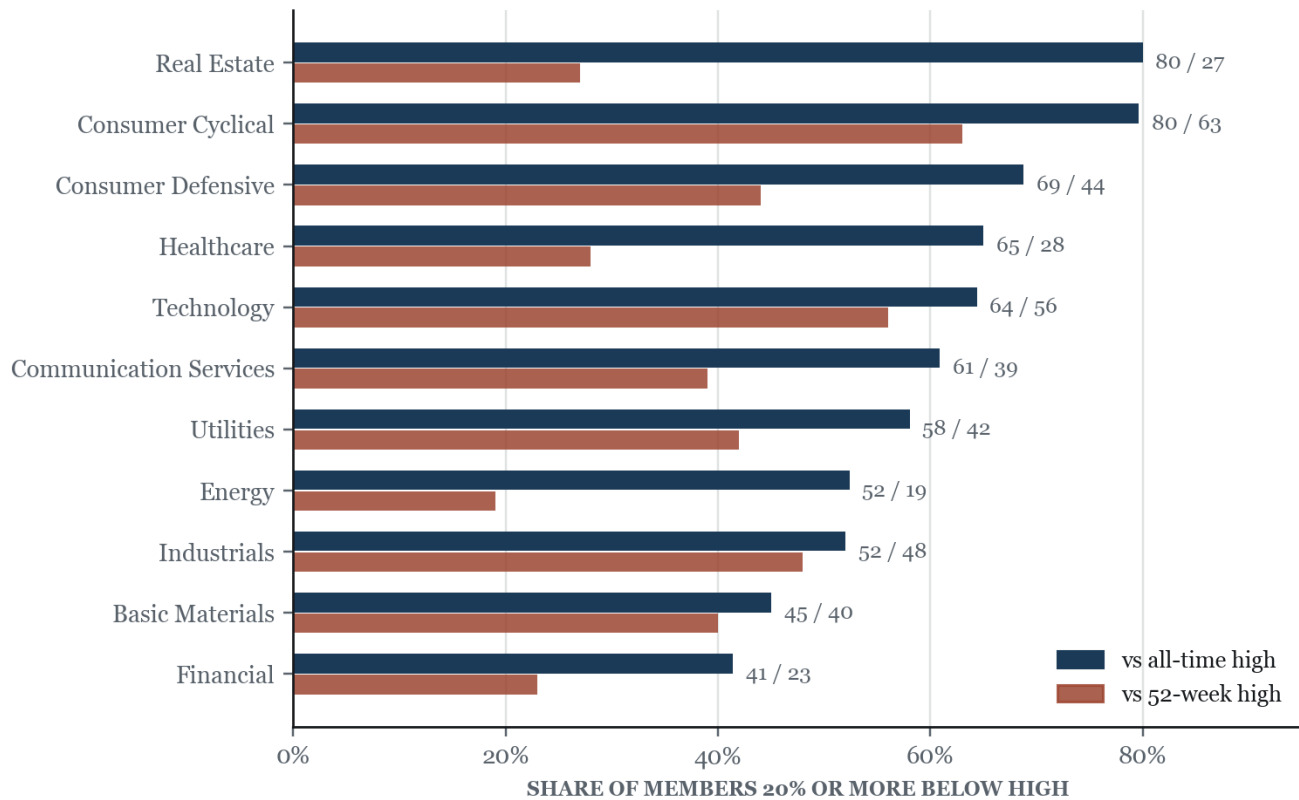


Real estate and consumer cyclical rank worst with 80% of each sector in a 20% or greater drawdown. Financials ranks best at 41% (median -17%). Real estate is rate sensitive, and the higher rate environment since 2022 pushed valuations down across the sector (median member 36% below ATH). 13 of 54 consumer cyclical members are 50% or more below their all-time highs. Technology is split. Chip and hardware names are near ATHs (NVDA -4.7%, AMD -2.6%, AAPL -2.4%), while software and services are deep in drawdowns (ADBE -65.6%, INTU -64.8%, ACN -56.0%).

EXHIBIT 5

The reference high changes the ranking

Like Exhibit 2, both lenses. Real Estate looks resilient on a 52-week view and worst in the index on an ATH view.



Real estate shows the difference best with 27% of members trading at or below 20% drawdowns on a 52-week basis (80% on an ATH basis). Energy (19% vs. 52%) and health care (28% vs. 65%) show the same pattern. The two numbers are fairly close in technology (56% vs. 64%) and industrials (48% vs. 52%), where drawdowns are more recent and these sectors are still working through them.

III. CONCENTRATION

EXHIBIT 6

Cap-weighted against equal-weighted, since October 2022

The ratio of the market cap-weighted index to its equal-weighted counterpart.



Since the start of the current bull market, the market cap-weighted to equal-weighted ratio has risen 29.2% to 3.65 from 2.82 in October of 2022. The cap-weighted index has outperformed the equal-weighted by a wide margin in this bull market. YTD, the S&P 500 is +12.5% while the equal-weight S&P 500 is +9.8%. This is the same story as Exhibits 1 through 5... The largest companies are lifting the index while the average company within the S&P 500 lags.

Sources

Exhibit 1: Yahoo Finance; Exhibit 2: Yahoo Finance, Finviz; Exhibit 3: Yahoo Finance; Exhibit 4: Yahoo Finance, Finviz; Exhibit 5: Yahoo Finance, Finviz; Exhibit 6: Alpha Vantage, SPY and RSP adjusted closes

ATH defined as the highest intraday price in each company's full available history.